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| | | | | |
|---|---|---|---|---|
| 21 | Insurance premium | | xxx | |
| 22 | General expenses | | xxx | |
| 23 | Sundry expenses | | xxx | |
| 24 | Electricity charges | | xxx | |
| 25 | Selling expenses | | xxx | |
| 26 | Travelling expenses | | xxx | |
| 27 | Wages | | xxx | |
| 28 | Sales | | | xxx |
| 29 | Purchases returns | | | xxx |
| 30 | Capital | | | xxx |
| 31 | Bank loan | | | xxx |
| 32 | Sundry creditors | | | xxx |
| 33 | Bills payable | | | xxx |
| 34 | Bank overdraft | | | xxx |
| 35 | Rent received | | | xxx |
| 36 | Interest received | | | xxx |
| 37 | Provision for bad debts | | | xxx |
| | **Total** | | **xxx** | **xxx** |

### Tutorial note

1. If the value of closing stock is known on the day when trial balance is prepared, then opening stock and closing stock are adjusted with purchases. Hence, opening stock will not appear in the trial balance. Closing stock and adjusted purchases will appear in the trial balance. If the value of closing stock is not known then opening stock and purchases will appear in the trial balance. Thus, either opening stock and purchases or closing stock and adjusted purchases will appear in the trial balance.
2. Under balance method, if an account does not have a balance, it is excluded.



### Student activity

**Think:** Analyse the above format. Can you identify accounts that have only debit balances/ credit balances always?

### Tutorial note

There are certain accounts which have only debit balances. Similarly, certain accounts have only credit balances. The following chart gives examples of such accounts:

